

Clouded Judgement 12.12.25 - Long Live Systems of Record



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Systems of Record are Dead. Long Live Systems of Record

Every few weeks I see some version of the same claim: “The new system of record is the agent,” or “Workflows swallow systems of record,” or “Data is the system of record, apps are just thin views.” There is a grain of truth in each of those, but I think it is so easy to over-rotate and accidentally throw out the thing enterprises still need most, which is not a “system of record” as much as a reliable source of truth.

When I think about systems of record, I do not actually think in product categories. I think in the much more boring lens of “where does the truth live.” In other words, if an enterprise workflow needs to know something at a specific step, where is the one place that answer is considered canonical. Because as workflows get more automated and more agent driven, the fragility point often has nothing to do with the model and everything to do with whether the agent pulled the right value from the right system.

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Anyone who has spent time inside a large company knows how messy this gets in practice. Take something as simple as “what is our ARR.” Ask the sales org and you will get one number. Ask finance and you get another, with a different set of exclusions and adjustments. Ask accounting, now you are talking revenue recognition not bookings. Ask legal, and they will correctly remind you that half the “ARR” in a fast growing business is backed by contracts that look nothing like the neat recurring subscription you want it to be. Even the definition is slippery. For a consumption business, is ARR the annualized run rate from last month’s usage, is it contracted commit, is it contracted commit net of discounts and credits, or is it a lagging twelve month billing number dressed up to sound like a recurring metric.

Now imagine you tell an agent, “Go calculate ARR by segment and send a deck to the board.” Which ARR should it use. Which table is canonical. If sales and finance disagree, who wins. If the billing system and the warehouse have drifted by a few percent, which one does the agent treat as truth. This is the part of the “systems of record are dead” argument that feels off to me. The more we automate, the more important it becomes that someone has done the unglamorous work of deciding what the correct answer is and where it lives.

Historically, systems of record solved this in a fairly straightforward way. You had a CRM system of record for customers and opportunities, an ERP for financials, an HRIS for people, a billing system for invoices, and so on. They were not perfect, but each domain had a primary home. Then the last decade arrived and everyone tried to centralize that reality into the warehouse or lakehouse. The pitch was that if you poured all the data into one place and layered semantic models and metrics definitions on top, you would finally get a single source of truth that analytics, dashboards and downstream tools could all agree on.

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curated gold tables that fed BI tools. The problem is that most of this lived downstream of the operational world. The sales team still lived in Salesforce, the finance team still closed the books in NetSuite, the support team still worked tickets in Zendesk. The warehouse or lakehouse was the retrospective mirror, not the transactional front door.

Agents change that equation in two important ways. First, they are inherently cross system. When you tell an agent to “run a quote to cash workflow,” you are asking it to dance across CRM, CPQ, billing, collections, and maybe a few internal tools that live in random corners of the org. Second, they are inherently action oriented. This is not just about running a report or producing a dashboard, it is about taking actions that change state in those underlying systems. That combination means agents are only as good as their understanding of which system owns which truth, and what the constraints are between those truths. This is the bull thesis on a company like Databricks - they become the center of gravity for AI Agents, and start to build these agents themselves.

Said another way, agents are forcing us to separate the UX of work from the source of truth for work. The UX can now be a chat window, a natural language interface, or a specialized agent UI that looks nothing like the old enterprise applications. Under the hood, though, something still has to say “this is the canonical customer record” or “this is the legally binding contract term” or “this number is the one we report to Wall Street.” That “something” might be a traditional system of record, it might be a warehouse-backed semantic layer, or it might be a new class of “data control plane” product, but it is absolutely not going away.

This is where I think data warehouses and lakehouses start to look like the natural substrate for many agentic workflows. They already try to centralize data across

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starts to look less like a reporting system and more like a “truth registry” that the rest of the company can rely on.

The missing piece is that most of these stacks were designed for humans running queries, not agents orchestrating workflows. Humans can hold nuance in their heads. If finance and sales disagree on ARR, they can talk it out and decide which number to use for the board deck. Agents cannot. They need explicit rules. They need conflict resolution baked into the data model. They need to know that “official_arr” is the metric we use for external reporting, “sales_arr” is the metric we use for comp plan and “product_arr” is the metric we use for feature level analysis. They need the warehouse to not only store the data but also encode the precedence and meaning of that data.

There is a similar story on the operational side. I do not think CRM or ERP or billing systems disappear. Instead, they quietly evolve into something closer to “state machines with APIs” that are optimized for programmatic access rather than human UI. The agent initiates the quote, computes the pricing, assembles the contract, negotiates redlines, and then, at the right moment, writes the final state into the downstream system of record through a well defined boundary. The human might still see that state in a web interface, but the primary consumer is an agent. The system of record becomes less of a place you click around in and more of a durable storage and constraint engine that machines talk to.

If you believe that world, then the question “are systems of record dying” starts to feel a bit like asking “is the database dying” when people moved from client server apps to web apps. The form factor is changing. The power center may migrate from monolithic SaaS fronts to shared data layers and workflows. But the need for a

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next to the warehouse, or next to the CRM, or next to the ERP, and then building opinionated agents that orchestrate work across those systems. Their edge is usually a combination of workflow design, semantic modeling, and tight integration with the customer's existing sources of truth. Underneath the marketing, they are basically wrapping the messy reality of enterprise data in a cleaner contract so agents can operate safely.

There is also a valuation angle hiding in here. Investors love to debate whether “systems of record” get higher multiples than “systems of engagement,” and where pure workflow tools land in that spectrum. Agents complicate that framing. An agent that sits on top of someone else's data and can be easily unplugged probably does not deserve system of record type durability. An agent platform that becomes the place where metric definitions live, where entity schemas are defined, and where policies about who can do what are enforced, starts to look much more like a source of truth even if the underlying bits are stored in Snowflake or Databricks or some operational database. The multiple will follow the stickiness of the truth, not the buzzword on the slide.

So where do I land. I do not think systems of record are dying. I think they are getting unbundled and rewired. The “record” part, the actual truth, will increasingly live in a combination of warehouses, lakehouses, and still important operational systems. On top of that, we will get a new layer of semantic contracts and control planes that tell agents how to safely read and write that truth. The familiar SaaS front ends that used to sit on top of those systems of record will matter less over time. Agents and workflow UIs will become the primary way humans interact with work. But the underlying need for a well defined source of truth, with clear ownership and constraints, will only grow.

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ones that build amazing agentic experiences on top of boring, rock solid sources of truth, rather than pretending those sources no longer matter.

Quarterly Reports Summary

	Reported Revenue			Next Quarter Rev		
	Actual	Consensus	Δ	Guidance	Consensus	Δ
Adobe	\$6194.0M	\$6101.7M	1.5%	\$6275.0M	\$6225.4M	0.8%
SailPoint	\$281.9M	\$270.1M	4.4%	\$292.0M	\$290.2M	0.6%
Braze	\$191M	\$184.1M	3.7%	\$198.0M	\$192.6M	2.8%
Yext	\$112.0M	\$112.8M	(0.7%)	NA	\$115.6M	NA

Top 10 EV / NTM Revenue Multiples

Company	EV / NTM Rev	EV / 2026 Rev	EV / NTM FCF	NTM Rev Growth	Gross Margin	Operating Margin	FCF Margin	% in Total Over L
1 Palantir	76.5x	70.8x	156x	48%	81%	22%	46%	100%
2 Cloudflare	28.3x	26.6x	203x	27%	75%	(10%)	10%	100%
3 CrowdStrike	22.7x	21.6x	79x	22%	74%	(9%)	24%	100%
4 Shopify	15.6x	14.7x	89x	25%	49%	16%	18%	70%
5 Figma	14.5x	NA	83x	26%	85%	(108%)	28%	37%
6 Snowflake	13.7x	13.0x	53x	25%	67%	(34%)	17%	95%
7 Samsara	13.5x	12.8x	103x	20%	77%	(5%)	13%	80%
8 Datadog	12.7x	12.2x	50x	22%	80%	(1%)	27%	49%
9 Rubrik	12.7x	12.1x	93x	25%	79%	(32%)	21%	39%
10 JFrog	12.6x	12.1x	54x	17%	76%	(19%)	28%	2%
Top 10 Average	22.3x	21.8x	96x	26%	74%	(18%)	23%	67%
Top 10 Median	14.1x	13.0x	86x	25%	77%	(9%)	22%	75%
Overall Median	4.9x	4.6x	24.6x	12%	76%	(1%)	20%	

Top 10 Weekly Share Price Movement

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Company		7 Day Share Price Δ	30 Day Share Price Δ	YTD Share Price Δ	Current Market Cap (\$MM)
1	Confluent	29%	23%	8%	\$10,646
2	Rubrik	24%	15%	34%	\$19,363
3	CS Disco	22%	26%	79%	\$557
4	Braze	17%	22%	(17%)	\$3,911
5	Unity	11%	18%	119%	\$21,013
6	ServiceTitan	11%	15%	3%	\$9,899
7	JFrog	9%	6%	131%	\$8,028
8	SailPoint	9%	7%	(6%)	\$12,165
9	PagerDuty	8%	(19%)	(29%)	\$1,194
10	GitLab	8%	(13%)	(28%)	\$6,841
Average		15%	10%	29%	\$9,362
Median		11%	15%	5%	\$8,964

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Update on Multiples

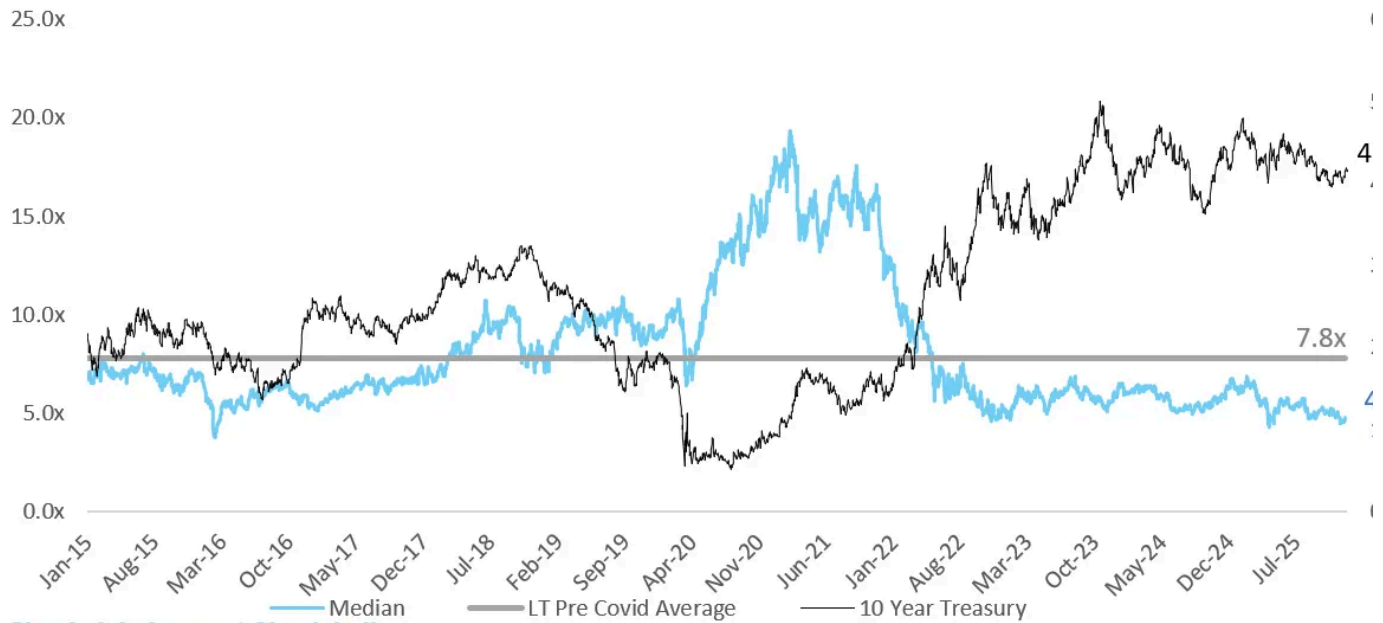
SaaS businesses are generally valued on a multiple of their revenue - in most cases the multiple is based on projected revenue for the next 12 months. Revenue multiples are a shorthand valuation framework. Given most software companies are not profitable, or not generating meaningful FCF, it's the only metric to compare the entire industry against. Even a DCF is riddled with long term assumptions. The promise of SaaS is that growth in the early years leads to profits in the mature years. Multiples shown below are calculated by taking the Enterprise Value (market cap + debt - cash) / NTM revenue.

Overall Stats:

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EV / NTM Revenue Multiples

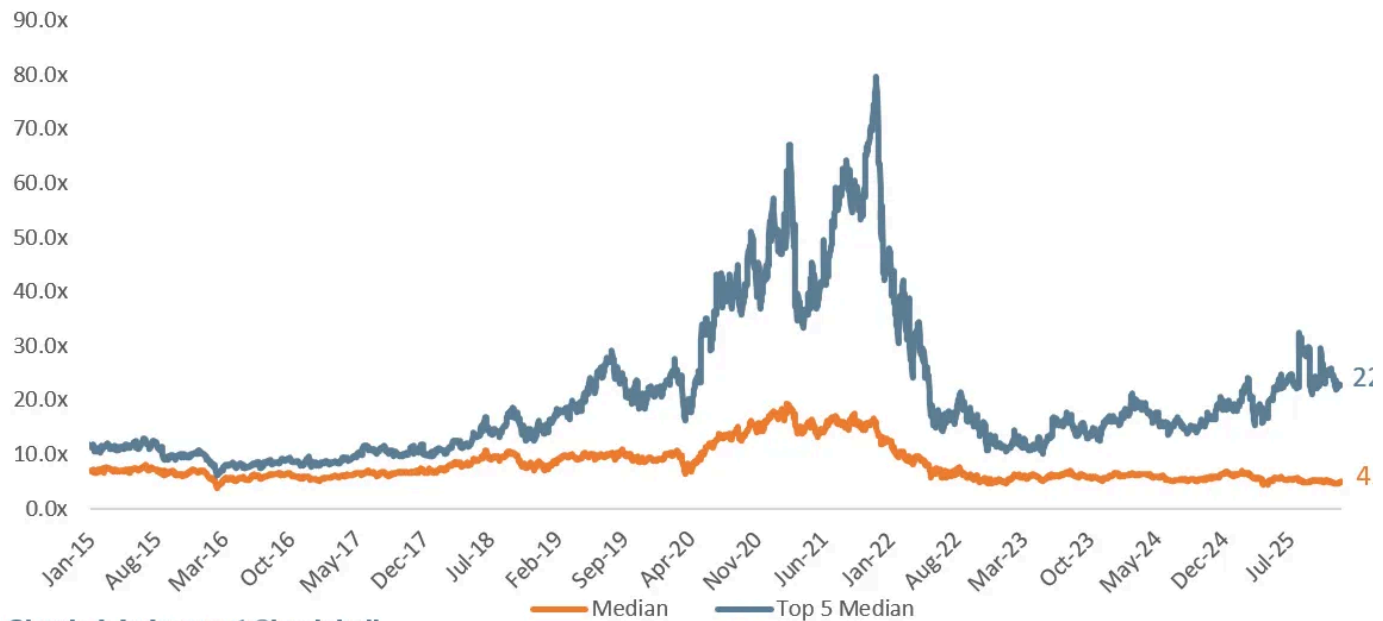


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Source: Bloomberg / Pitchbook consensus estimates

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EV / NTM Revenue Multiples



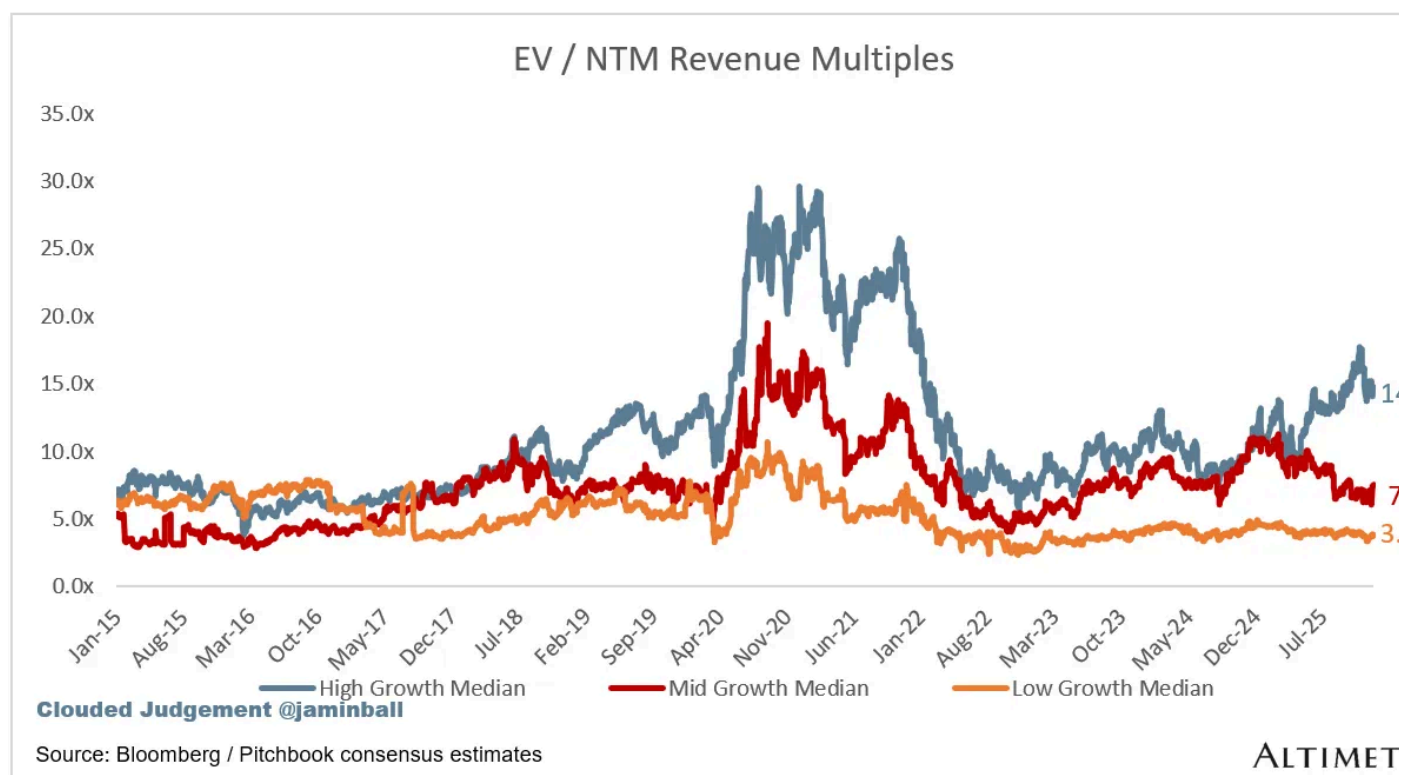
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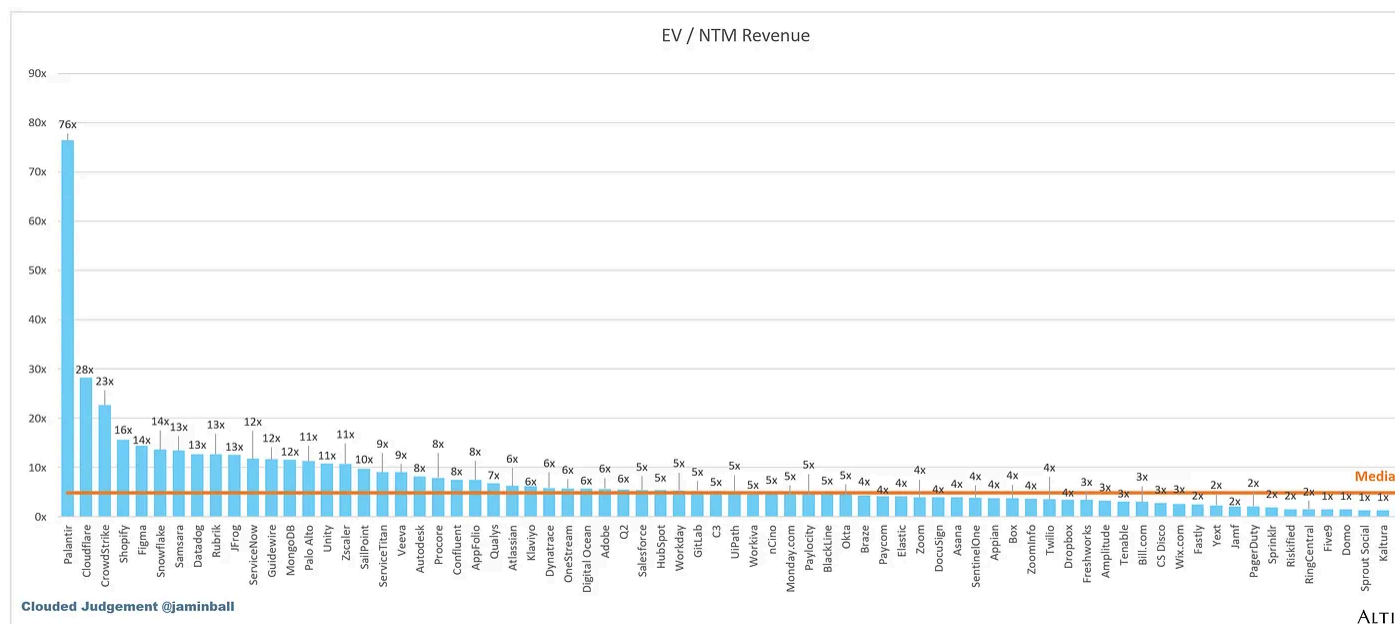
for “high growth.” If 22% feels a bit arbitrary, it’s because it is...I just picked a cutoff where there were ~10 companies that fit into the high growth bucket so the sample size was more statistically significant

- High Growth Median: 14.5x
- Mid Growth Median: 7.5x
- Low Growth Median: 3.7x



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EV / NTM Rev / NTM Growth

The below chart shows the EV / NTM revenue multiple divided by NTM consensus growth expectations. So a company trading at 20x NTM revenue that is projected to grow 100% would be trading at 0.2x. The goal of this graph is to show how relatively cheap / expensive each stock is relative to its growth expectations.

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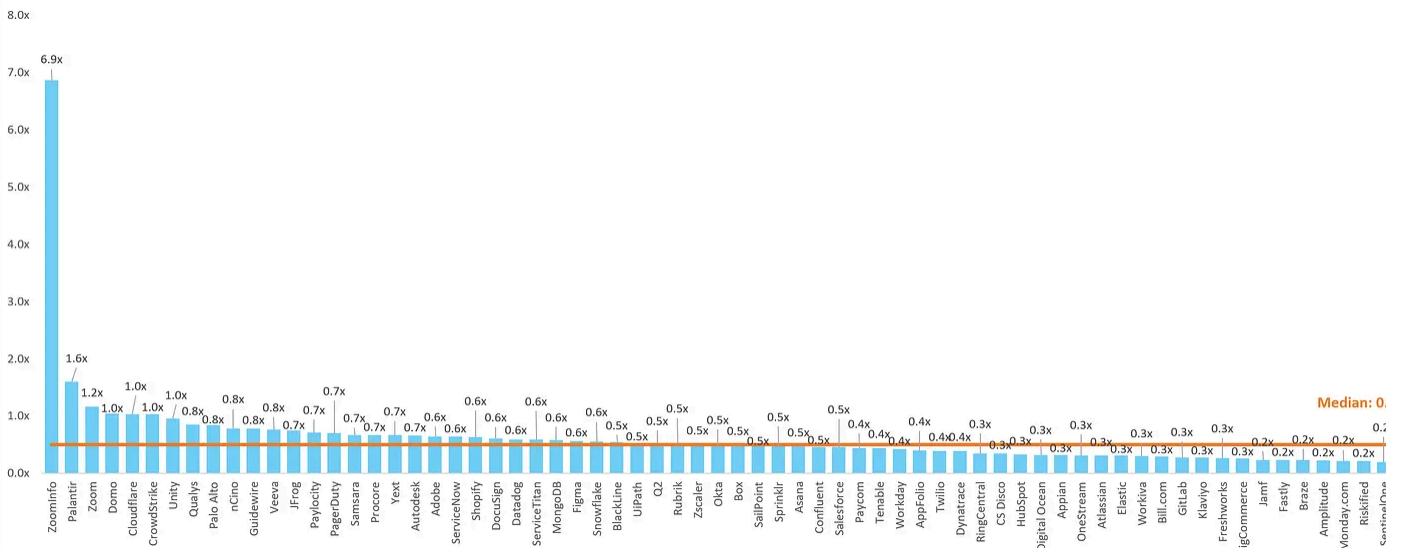
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Median EV / NTM Revenue / NTM Growth Multiples



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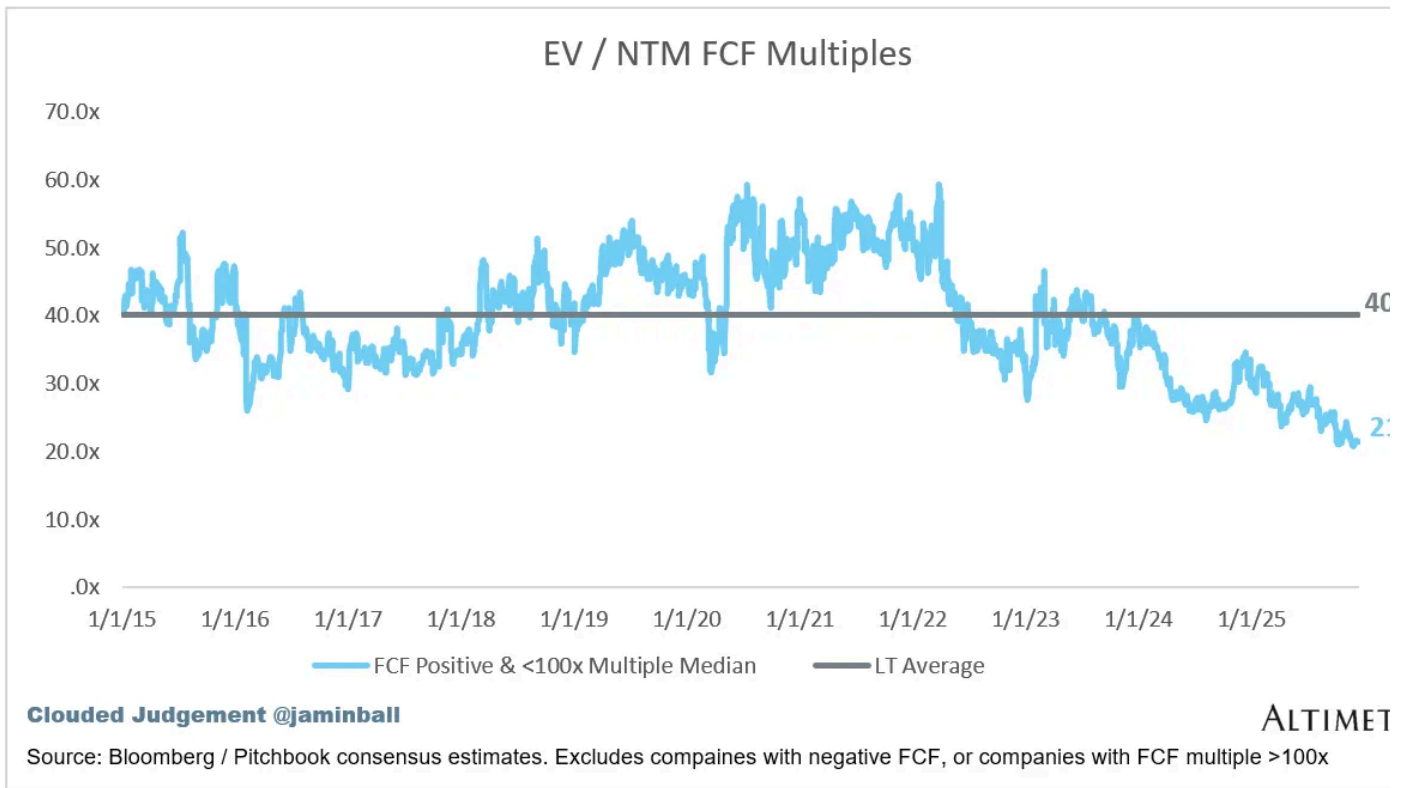
Growth Adjusted EV / NTM Revenue (EV / NTM Rev / NTM Growth)



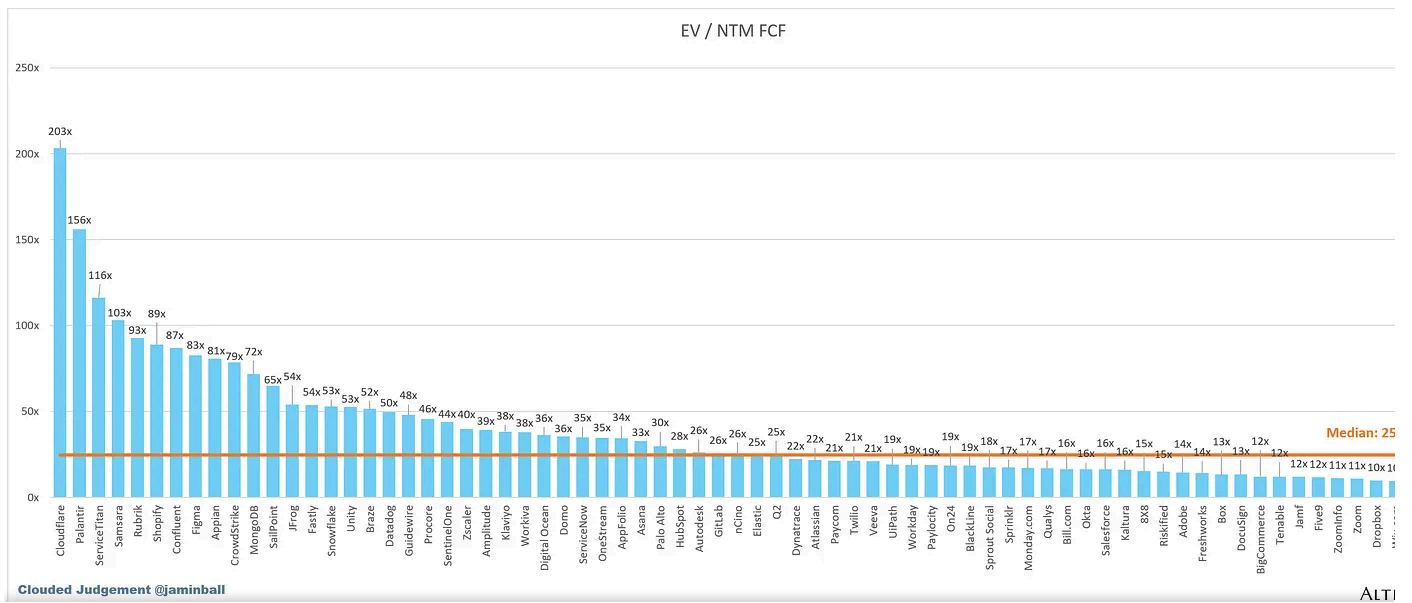
EV / NTM FOR

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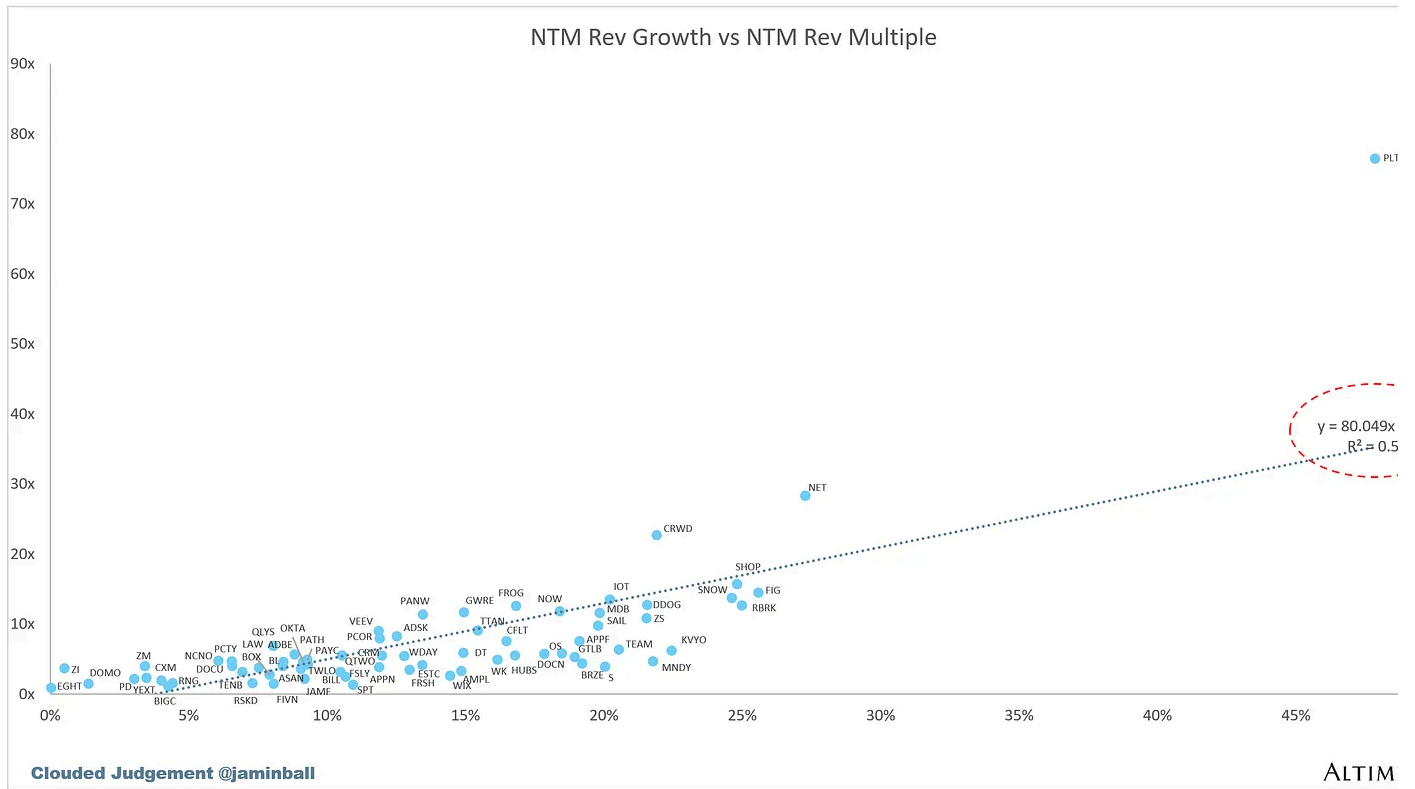


Companies with negative NTM FCF are not listed on the chart



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Operating Metrics

- Median NTM growth rate: 12%
- Median LTM growth rate: 13%
- Median Gross Margin: 76%
- Median Operating Margin (1%)
- Median FCF Margin: 20%
- Median Net Retention: 108%
- Median CAC Payback: 36 months
- Median S&M % Revenue: 37%

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Rule of 40 shows rev growth + FCF margin (both LTM and NTM for growth + margins). FCF calculated as Cash Flow from Operations - Capital Expenditures

GM Adjusted Payback is calculated as: (Previous Q S&M) / (Net New ARR in Q x Gr Margin) x 12. It shows the number of months it takes for a SaaS business to pay bac its fully burdened CAC on a gross profit basis. Most public companies don't report new ARR, so I'm taking an implied ARR metric (quarterly subscription revenue x 4) Net new ARR is simply the ARR of the current quarter, minus the ARR of the previ quarter. Companies that do not disclose subscription rev have been left out of the analysis and are listed as NA.

	Valuation		Rev Multiple				FCF Multiple				Rev Growth				LTM	Gross	Operating	FCF Margin				Rule of 40				LTM Operating Expenses % Rev				Net	GM Adj.	Share Price Performance		
	Market Cap	EV	LTM	NTM	2026	LTM	NTM	LTM	NTM	2026	LTM	Revenue	Margin	Margin	LTM	NTM	LTM	NTM	S&M	R&D	G&A	SBC	Expansion	Payback	Current	% Week	% 30 Day							
Palantir	\$446,596	\$440,491	113.1x	76.5x	70.8x	246x	156x	47%	48%			\$3,896	81%	22%	46%	49%	93%	97%	27%	15%	17%	20%	NA	NA	\$187	5%	(2%)							
Cloudflare	\$73,030	\$72,488	36.0x	28.3x	26.6x	350x	203x	28%	27%			\$2,013	75%	(10%)	10%	14%	38%	41%	43%	24%	18%	21%	119%	18 Months	\$208	2%	(11%)							
CrowdStrike	\$130,080	\$126,150	27.6x	22.7x	21.6x	114x	79x	22%	22%			\$4,565	74%	(9%)	24%	29%	46%	51%	39%	29%	14%	24%	NA	27 Months	\$516	1%	(7%)							
Shopify	\$213,880	\$208,646	19.5x	15.6x	14.7x	110x	89x	30%	25%			\$10,696	49%	16%	18%	18%	48%	42%	15%	14%	4%	4%	NA	NA	\$165	2%	4%							
Figma	\$19,110	\$17,594	18.2x	14.5x	NA	64x	83x	43%	26%			\$969	85%	(108%)	28%	17%	72%	43%	33%	94%	39%	118%	131%	17 Months	\$39	(0%)	(13%)							
Snowflake	\$75,387	\$74,719	17.0x	13.7x	13.0x	98x	53x	28%	25%			\$4,387	67%	(34%)	17%	26%	46%	50%	44%	44%	13%	37%	125%	33 Months	\$220	(6%)	(19%)							
Samsara	\$25,302	\$24,615	16.2x	13.5x	12.8x	127x	103x	29%	20%			\$1,521	77%	(5%)	13%	13%	42%	33%	43%	22%	17%	20%	115%	26 Months	\$44	8%	10%							
Datadog	\$52,476	\$49,615	15.4x	12.7x	12.2x	57x	50x	27%	22%			\$3,212	80%	(1%)	27%	25%	54%	47%	28%	45%	8%	22%	120%	15 Months	\$150	(2%)	(24%)							
Rubrik	\$16,383	\$16,031	15.8x	12.7x	12.1x	77x	93x	49%	25%			\$1,197	79%	(32%)	21%	14%	70%	39%	59%	29%	22%	28%	120%	29 Months	\$87	24%	15%							
JFrog	\$8,028	\$7,388	14.7x	12.6x	12.1x	52x	54x	23%	17%			\$503	76%	(19%)	28%	23%	51%	40%	43%	37%	15%	31%	118%	22 Months	\$68	9%	6%							
ServiceNow	\$179,575	\$176,566	13.9x	11.8x	11.3x	45x	35x	21%	18%			\$12,687	78%	14%	31%	34%	52%	52%	34%	23%	8%	15%	NA	24 Months	\$866	3%	1%							
Guidewire	\$17,355	\$17,048	13.4x	11.7x	11.3x	62x	48x	23%	15%			\$1,272	63%	5%	22%	24%	44%	39%	19%	24%	15%	13%	NA	NA	\$204	(3%)	(7%)							
MongoDB	\$34,407	\$32,167	13.9x	11.6x	11.1x	93x	72x	21%	20%			\$2,317	72%	(7%)	15%	16%	36%	36%	39%	29%	10%	23%	120%	28 Months	\$423	7%	14%							
Palo Alto	\$132,546	\$122,700	12.8x	11.3x	11.0x	33x	30x	15%	13%			\$9,557	73%	13%	39%	38%	54%	51%	33%	21%	5%	14%	NA	NA	\$190	(3%)	(13%)							
Unity	\$21,013	\$21,695	12.0x	10.8x	10.4x	55x	53x	(8%)	11%			\$1,804	74%	(28%)	22%	20%	13%	32%	37%	50%	15%	22%	NA	NA	\$49	11%	18%							
Zscaler	\$38,541	\$37,054	13.1x	10.8x	10.3x	44x	40x	23%	22%			\$2,833	77%	(5%)	30%	27%	53%	48%	47%	25%	9%	24%	115%	27 Months	\$242	(0%)	(27%)							
SailPoint	\$12,165	\$11,867	11.7x	9.7x	9.3x	1235x	65x	23%	20%			\$1,017	64%	(29%)	1%	15%	24%	35%	54%	21%	18%	21%	114%	41 Months	\$22	9%	7%							
ServiceTitan	\$9,899	\$9,564	10.4x	9.0x	8.8x	158x	116x	26%	15%			\$916	69%	(24%)	(2%)	8%	24%	23%	29%	32%	30%	26%	110%	43 Months	\$106	11%	15%							
Veeva	\$37,579	\$31,032	10.1x	9.0x	8.7x	23x	21x	16%	12%			\$3,080	76%	28%	54%	43%	69%	55%	16%	29%	12%	18%	NA	19 Months	\$229	(6%)	(24%)							
Autodesk	\$63,526	\$63,669	9.2x	8.2x	8.0x	30x	26x	16%	13%			\$6,888	91%	24%	31%	31%	46%	44%	33%	23%	10%	12%	105%	NA	\$300	(2%)	(1%)							
Procore	\$11,941	\$11,285	8.8x	7.9x	7.7x	86x	46x	15%	12%			\$1,275	80%	(12%)	10%	17%	25%	29%	46%	28%	18%	16%	NA	36 Months	\$77	0%	(3%)							
Confluent	\$10,646	\$9,762	8.8x	7.5x	7.2x	310x	87x	22%	16%			\$1,113	74%	(35%)	3%	9%	24%	25%	52%	43%	14%	36%	114%	38 Months	\$30	29%	23%							
AppFolio	\$6,283	\$8,117	9.0x	7.5x	7.2x	39x	34x	19%	19%			\$906	63%	15%	23%	22%	42%	41%	15%	21%	11%	8%	NA	13 Months	\$230	(3%)	(8%)							
Qualys	\$5,434	\$4,825	7.4x	6.8x	6.7x	18x	17x	10%	8%			\$653	82%	33%	42%	41%	52%	49%	21%	18%	11%	12%	NA	NA	\$152	1%	(1%)							
Atlassian	\$42,982	\$41,429	7.6x	6.3x	6.0x	28x	22x	20%	21%			\$5,460	83%	(4%)	27%	29%	46%	49%	22%	52%	12%	26%	NA	18 Months	\$163	4%	4%							
Klaviyo	\$9,608	\$8,739	7.6x	6.2x	5.9x	55x	38x	33%	22%			\$1,154	75%	(9%)	8%	16%	41%	39%	42%	22%	15%	14%	108%	28 Months	\$30	(0%)	2%							
Dynatrace	\$13,645	\$12,418	6.7x	5.8x	5.6x	26x	22x	19%	15%			\$1,853	82%	12%	26%	26%	44%	41%	35%	23%	11%	16%	111%	32 Months	\$45	2%	(3%)							
OneStream	\$4,427	\$3,881	6.8x	5.7x	5.5x	41x	35x	24%	18%			\$571	68%	(24%)	17%	17%	41%	35%	47%	24%	21%	26%	NA	42 Months	\$17	(4%)	(21%)							
Digital Ocean	\$4,498	\$5,837	6.8x	5.7x	5.5x	36x	36x	14%	18%			\$864	61%	17%	19%	16%	33%	34%	9%	18%	16%	10%	99%	9 Months	\$49	6%	(2%)							
Adobe	\$146,133	\$146,186	6.2x	5.7x	5.6x	15x	14x	11%	9%			\$23,769	89%	36%	41%	39%	52%	48%	27%	18%	7%	8%	NA	NA	\$349	6%	5%							
Q2	\$4,717	\$4,687	6.1x	5.5x	5.4x	31x	25x	14%	11%			\$770	53%	3%	20%	22%	34%	33%	14%	19%	16%	11%	NA	23 Months	\$75	4%	3%							
Salesforce	\$245,433	\$245,745	6.1x	5.4x	5.3x	19x	16x	8%	12%			\$40,317	78%	22%	32%	33%	40%	45%	34%	14%	7%	8%	NA	NM	\$262	6%	7%							
HubSpot	\$20,204	\$18,990	6.4x	5.4x	5.3x	35x	28x	19%	17%			\$2,988	84%	(2%)	18%	19%	37%	36%	45%	30%	11%	18%	103%	26 Months	\$386	2%	(2%)							
Workday	\$59,945	\$55,894	6.1x	5.4x	5.2x	22x	19x	13%	13%			\$9,231	78%	9%	28%	29%	41%	41%	28%	29%	10%	18%	NA	36 Months	\$224	3%	(1%)							
GitLab	\$6,841	\$5,682	6.3x	5.3x	5.0x	23x	26x	27%	19%			\$906	88%	(9%)	27%	20%	54%	39%	46%	30%	21%	23%	119%	36 Months	\$41	8%	(13%)							
C3	\$2,253	\$1,639	4.6x	5.2x	5.1x	NM	NM	2%	(11%)			\$353	52%	(117%)	(26%)	(31%)	(25%)	(42%)	72%	68%	29%	72%	NA	47 Months	\$16	4%	5%							
UIPath	\$9,712	\$8,274	5.3x	4.9x	4.8x	27x	19x	10%	9%			\$1,553	83%	1%	20%	25%	30%	35%	44%	25%	14%	20%	107%	41 Months	\$18	(2%)	26%							
Workiva	\$4,847	\$4,783	5.7x	4.9x	4.7x	37x	38x	20%	16%			\$846	78%	(8%)	15%	13%	35%	29%	47%	25%	13%	13%	114%	35 Months	\$86	(7%)	(8%)							
nCino	\$2,959	\$2,950	5.0x	4.7x	4.6x	49x	26x	12%	6%			\$586	60%	(1%)	10%	18%	22%	24%	23%	22%	15%	12%	NA	68 Months	\$26	6%	(2%)							
Monday.com	\$8,215	\$6,595	5.7x	4.6x	4.4x	20x	17x	29%	22%			\$1,166	89%	0%	28%	27%	57%	49%	51%	26%	12%	14%	111%	29 Months	\$162	5%	(2%)							
Paylocity	\$8,128	\$8,098	4.9x	4.6x	4.5x	24x	19x	13%	7%			\$1,640	69%	19%	21%	25%	34%	31%	23%	13%	13%	9%	NA	NA	\$149	2%	0%							
BlackLine	\$3,488	\$3,413	5.0x	4.6x	4.5x	23x	19x	7%	8%			\$687	75%	5%	22%	25%	29%	33%	38%	15%	17%	13%	103%	50 Months	\$59	1%	6%							

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	Valuation		Rev Multiple			FCF Multiple			Rev Growth		LTM Revenue	Gross Margin	Operating Margin	FCF Margin		Rule of 40				LTM Operating Expenses % Rev				Net Expansion	GM Adj. Payback	Share Price Performance		
	Market Cap	EV	LTM	NTM	2026	LTM	NTM	LTM	NTM	LTM				NTM	S&M	R&D	GS&A	SBC	Current	% Week	% 30 Day							
Okta	\$16,068	\$14,028	4.9x	4.5x	4.4x	16x	16x	12%	9%	\$2,840	77%	4%	31%	28%	44%	37%	35%	22%	16%	19%	106%	74 Months	\$91	5%	6%			
Braze	\$3,911	\$3,612	5.2x	4.4x	4.2x	60x	52x	23%	19%	\$693	68%	(20%)	9%	8%	32%	28%	45%	22%	20%	19%	108%	38 Months	\$35	17%	22%			
Paycom	\$9,356	\$9,065	4.5x	4.1x	4.1x	23x	21x	10%	9%	\$2,001	83%	28%	20%	19%	29%	23%	14%	14%	6%	NA	NA	\$166	0%	(2%)				
Elastic	\$8,321	\$7,516	4.7x	4.1x	4.0x	25x	25x	17%	13%	\$1,609	76%	(2%)	19%	17%	36%	30%	41%	25%	11%	17%	112%	76 Months	\$79	7%	(16%)			
Zoom	\$27,727	\$19,832	4.1x	4.0x	3.9x	10x	11x	4%	3%	\$4,806	77%	23%	42%	36%	46%	40%	29%	17%	8%	17%	98%	104 Months	\$90	4%	6%			
DocuSign	\$14,057	\$13,368	4.2x	4.0x	3.9x	14x	13x	8%	7%	\$3,159	79%	9%	31%	30%	40%	36%	38%	21%	12%	20%	102%	70 Months	\$70	(1%)	2%			
Asana	\$3,488	\$3,285	4.2x	3.9x	3.8x	50x	33x	9%	8%	\$774	89%	(29%)	8%	12%	6%	27%	68%	20%	53%	40%	96%	88 Months	\$15	4%	11%			
SentinelOne	\$5,103	\$4,464	4.7x	3.9x	3.7x	99x	44x	24%	20%	\$956	75%	(32%)	5%	9%	29%	29%	54%	32%	21%	31%	NA	38 Months	\$15	(12%)	(13%)			
Appian	\$2,817	\$2,932	4.2x	3.8x	3.7x	40x	81x	16%	12%	\$691	76%	1%	11%	5%	26%	17%	32%	23%	20%	6%	111%	17 Months	\$38	(3%)	(14%)			
Box	\$4,320	\$4,621	4.0x	3.7x	3.7x	15x	13x	7%	8%	\$1,151	79%	6%	27%	28%	34%	35%	35%	25%	13%	20%	104%	54 Months	\$30	(5%)	(6%)			
ZoomInfo	\$3,009	\$4,526	3.7x	3.6x	3.6x	13x	11x	1%	1%	\$1,240	84%	16%	28%	32%	29%	33%	35%	16%	15%	10%	90%	34 Months	\$10	0%	(6%)			
Twilio	\$20,346	\$18,962	3.9x	3.6x	3.5x	26x	21x	13%	9%	\$4,696	49%	3%	15%	17%	28%	26%	17%	21%	9%	12%	109%	19 Months	\$134	7%	3%			
Dropbox	\$7,119	\$8,742	3.5x	3.5x	3.5x	9x	10x	(0%)	(2%)	\$2,528	81%	24%	38%	36%	37%	35%	16%	31%	9%	12%	NA	NM	\$28	(6%)	(12%)			
Freshworks	\$3,935	\$3,161	3.9x	3.5x	3.3x	16x	14x	18%	13%	\$811	85%	(5%)	25%	24%	43%	37%	46%	20%	23%	25%	105%	32 Months	\$13	4%	13%			
Amplitude	\$1,510	\$1,245	3.8x	3.3x	3.2x	94x	39x	13%	15%	\$330	74%	(34%)	4%	8%	17%	23%	55%	33%	20%	32%	104%	64 Months	\$11	3%	1%			
Tenable	\$3,182	\$3,214	3.3x	3.1x	3.0x	13x	12x	11%	7%	\$975	78%	(1%)	25%	26%	36%	33%	42%	22%	15%	19%	NA	99 Months	\$27	0%	(5%)			
Bill.com	\$5,503	\$5,109	3.4x	3.1x	3.0x	18x	16x	12%	10%	\$1,500	81%	(6%)	19%	19%	31%	29%	38%	23%	19%	16%	NA	46 Months	\$55	4%	18%			
CS Disco	\$557	\$451	3.0x	2.7x	2.7x	NM	NM	6%	8%	\$153	75%	(33%)	(11%)	(3%)	(5%)	5%	39%	36%	32%	16%	NA	22 Months	\$9	22%	26%			
Wix.com	\$5,730	\$5,711	3.0x	2.6x	2.5x	10x	10x	13%	14%	\$1,929	68%	6%	28%	27%	42%	41%	24%	29%	9%	12%	NA	NA	\$103	0%	(23%)			
Fastly	\$1,549	\$1,615	2.7x	2.5x	2.4x	50x	54x	9%	11%	\$592	55%	(23%)	5%	5%	15%	15%	34%	26%	18%	19%	106%	28 Months	\$10	(10%)	(14%)			
Yext	\$1,032	\$1,073	2.4x	2.3x	2.3x	17x	9x	9%	3%	\$448	75%	7%	14%	NA	23%	NA	33%	20%	16%	12%	96%	NM	\$8	(5%)	(2%)			
Janif	\$1,742	\$1,613	2.3x	2.1x	2.1x	15x	12x	12%	9%	\$691	77%	(5%)	16%	18%	28%	27%	36%	21%	20%	14%	104%	54 Months	\$13	0%	1%			
PagerDuty	\$1,194	\$1,074	2.2x	2.1x	2.1x	10x	9x	7%	3%	\$469	84%	(2%)	22%	23%	29%	27%	39%	26%	21%	21%	100%	NM	\$13	8%	(19%)			
Sprinklr	\$2,082	\$1,660	2.0x	1.9x	1.9x	13x	17x	8%	4%	\$839	69%	6%	15%	11%	22%	15%	35%	11%	16%	9%	102%	175 Months	\$8	1%	6%			
Riskified	\$768	\$560	1.7x	1.5x	1.5x	17x	15x	7%	7%	\$339	50%	(13%)	10%	10%	16%	18%	24%	20%	18%	16%	NA	NA	\$5	4%	(0%)			
RingCentral	\$2,645	\$3,995	1.6x	1.5x	1.5x	7x	8x	5%	4%	\$2,486	71%	4%	22%	20%	28%	25%	44%	13%	10%	12%	99%	110 Months	\$31	6%	13%			
Five9	\$1,674	\$1,798	1.6x	1.5x	1.4x	14x	12x	12%	8%	\$1,127	55%	1%	12%	13%	24%	21%	27%	14%	13%	14%	NA	189 Months	\$21	3%	5%			
Domo	\$379	\$469	1.5x	1.5x	1.4x	48x	36x	(0%)	1%	\$318	74%	(13%)	3%	4%	3%	5%	45%	25%	16%	18%	NA	NM	\$9	(22%)	(31%)			
Sprout Social	\$658	\$627	1.4x	1.3x	1.2x	17x	18x	13%	11%	\$444	78%	(10%)	8%	7%	21%	18%	42%	23%	23%	18%	NA	49 Months	\$11	5%	7%			
Kaltura	\$263	\$227	1.3x	1.3x	1.2x	16x	16x	2%	(1%)	\$181	70%	(5%)	8%	8%	10%	7%	27%	27%	4%	10%	97%	NM	\$2	5%	(8%)			
BigCommerce	\$364	\$388	1.1x	1.1x	1.1x	13x	12x	3%	4%	\$340	79%	(1%)	9%	9%	12%	13%	39%	22%	17%	8%	NA	NM	\$4	(5%)	(14%)			
8x8	\$301	\$587	0.8x	0.8x	0.8x	15x	15x	0%	0%	\$721	67%	2%	5%	5%	6%	5%	37%	16%	12%	4%	NA	113 Months	\$2	7%	10%			
On24	\$257	\$83	0.6x	0.6x	0.6x	13x	19x	(6%)	(6%)	\$141	75%	(28%)	5%	3%	(2%)	(2%)	50%	24%	28%	23%	NA	NM	\$6	4%	7%			
Overall Average			8.7x	7.2x	6.9x	66x	38x	15%	13%	\$2,882	74%	(5%)	19%	20%	35%	32%	36%	26%	15%	19%	109%	47 Months	3%	(1%)				
Overall Median			5.3x	4.9x	4.6x	28x	25x	13%	12%	\$1,154	76%	(1%)	20%	19%	35%	34%	37%	23%	15%	17%	108%	36 Months	3%	(1%)				
High Growth Median (>22% NTM)			18.2x	14.5x	13.8x	98x	89x	33%	25%	\$2,013	75%	(10%)	18%	17%	48%	42%	42%	24%	17%	21%	120%	28 Months	2%	(2%)				
Mid Growth Median (>15% NTM)			8.9x	7.5x	7.2x	49x	42x	23%	19%	\$1,065	75%	(7%)	19%	18%	41%	36%	44%	27%	14%	22%	114%	28 Months	4%	(2%)				
Low Growth Median (<15% NTM)			4.1x	3.8x	3.7x	18x	17x	10%	9%	\$1,139	76%	2%	20%	20%	29%	30%	35%	22%	15%	15%	104%	49 Months	2%	0%				
25th Percentile			3.6x	3.4x	3.2x	16x	16x	9%	8%	\$692	69%	(12%)	10%	13%	24%	25%	28%	20%	11%	12%	103%	52 Months	(1%)	(8%)				
75th Percentile			9.7x	8.6x	7.9x	55x	48x	22%	19%	\$2,681	80%	8%	28%	27%	45%	41%	44%	29%	16%	22%	114%	26 Months	6%	6%				
90th Percentile			15.7x	12.7x	12.1x	108x	82x	28%	22%	\$5,234	84%	22%	32%	34%	53%	49%	51%	39%	23%	28%	120%	18 Months	9%	15%				

Sources used in this post include Bloomberg, Pitchbook and company filings

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La Dec 12

Amidst the "AI frenzy", I do believe there is a level of naivety among developers and among some investors around the complexity of these SORs (& this article does point some of those comp

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